

Tesla, Inc.
TSLA NASDAQ

Hold	\$359.44 ▲ 0.13%	12M Price Target \$400.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.42T
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TSLA: Drifting Sideways as EV Credit Sunset Looms

WHAT HAPPENED

- Sleepy tape today — TSLA basically flat on notably light volume (18.6M vs the usual 30M+). That tells you nobody's making a big move ahead of the October 1 "reveal" Musk teased, which betting markets give a 4% chance of actually happening on time (classic Musk timeline). The stock is stuck in the middle of its 52-week range.
- Musk floated a SpaceX/Tesla merger idea again — treat this as noise, not signal. He does this periodically and it rarely materializes, but it does hint he wants to juice Tesla's stock by associating it with SpaceX's rocket-powered valuation.

WHY IT MATTERS

Here's the real story nobody's talking loudly about: the \$7,500 federal EV tax credit officially expired September 30, 2025 under the One Big Beautiful Bill Act — meaning we're now almost a full year into a no-subsidy world for Tesla buyers. Gary Black's note today about Tesla GAINING US EV market share is actually huge — it means Tesla is winning the post-subsidy shakeout because legacy automakers (Ford, GM) are pulling back on EV investment. That's a structural positive: fewer competitors, more pricing power. BUT — and this matters — the reason the stock isn't ripping is because investors know Q4 auto deliveries face a tough comp (last year everyone rushed to buy before the credit died), so near-term numbers will look ugly even if the long-term setup improved.

POLICY & POLITICAL WATCH

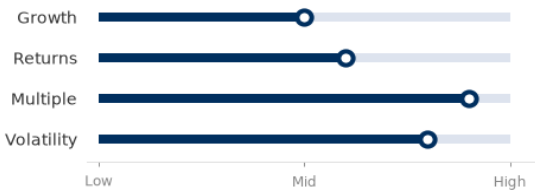
Three policy threads to watch: (1) The EV tax credit is gone and unlikely to come back under the current administration — Tesla has to prove it can grow without a government crutch. (2) NHTSA's ongoing investigation into Full Self-Driving is the sword hanging over the robotaxi thesis; a friendly outcome unlocks the Austin/California rollout, a hostile one delays it years. (3) Tariffs on Chinese battery components and rare earths remain elevated — Tesla's Shanghai Gigafactory exports and Megapack business are directly exposed, so watch any US-China trade thaw or escalation. Net: the regulatory backdrop is mixed-to-hostile on autos, but potentially friendly on autonomy if the administration keeps its "let AI innovate" posture.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$359.44
12M Price Target	\$400.00
Upside / (Downside)	+11.3%
Market Cap	\$1.42T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.05
FY2027E EPS	\$2.85
Fwd P/E	175.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$400.00	\$365.00	\$325.00
6 Months	\$460.00	\$380.00	\$300.00
1 Year	\$520.00	\$400.00	\$280.00
2 Years	\$650.00	\$450.00	\$250.00
5 Years	\$900.00	\$550.00	\$200.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) — oil catching a bid on Middle East jitters and the administration's drill-baby-drill posture. Ironically bearish for EVs at the margin (cheap gas = less pressure to switch).

COOLING OFF: Tech (-0.18% today, -2% this week) and Industrials — the AI capex debate that Anthropic kicked off is making investors question whether AI spending is sustainable.

ROTATION WATCH: Money is quietly rotating from high-multiple growth (where TSLA lives) into energy and defensive names. That's a headwind for TSLA until either rates drop or an AI catalyst re-ignites the growth trade.

RELATED PLAY: If you believe the Tesla autonomy thesis, the picks-and-shovels play is NVDA (chips powering the training) and lithium/battery names like ALB — though the latter has been beaten up on the EV slowdown.

WHO'S WINNING IN THIS SPACE?

- GEV (GE Vernova): Power infrastructure play — winning as AI data center electricity demand explodes.
- RIVN (Rivian): Getting a small bid on VW joint venture progress, though still structurally challenged.

TSLA CONTEXT: TSLA is middle-of-pack in its peer group — not leading like the pure AI names (NVDA, PLTR) but not getting crushed like legacy EV players either. At 31% of its 52-week range, it's closer to the lows than highs, which tells you sentiment is cautious. That's actually a decent setup IF a catalyst hits.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — cautiously constructive. The AI/robotics optionality is real, but you're paying a premium price with real near-term headwinds.

POSITION SIZE: 2-4% of portfolio — enough to matter if robotaxi works, small enough that a 40% drawdown doesn't ruin you. This stock can move 10% on a tweet.

ENTRY POINTS: I'd rather buy \$320-340 on a macro fear day than chase \$360 here. Unusual call option activity at \$360-365 strikes suggests traders expect a near-term pop, but that's short-term noise.

TIME HORIZON: 12-24 months. The catalysts you're waiting for: (1) real robotaxi metrics, not demos, (2) Optimus production numbers, (3) any sign auto margins are stabilizing.

WHEN TO BAIL: If auto gross margin breaks below 15%, or if the robotaxi rollout gets pushed into 2027+, the thesis is broken and you take the loss.

HEDGING: Simplest hedge — don't oversize the position. If you want protection, buying puts 15% out of the money gives you insurance against a Musk-does-something-crazy event, but they're expensive because everyone knows TSLA is volatile.